

Mulberry Industries — permanent magnets, Norcross GA

Vertically integrated NdFeB and SmCo magnet manufacturer whose founding team previously built and ran the third-largest permanent magnet company in China, now replicating that process flow on U.S. soil into a DFARS-driven supply gap that becomes acute on 1 January 2027.

VERDICT

INTERESTING — 5/10, VERIFY-FIRST

the thesis is real; the memo's key facts are unusually verifiable and none are verified in it

THE GENUINE EDGE

Process knowledge + SmCo

SmCo capability is rare domestically and is the only defense-capable magnet; five GBD generations cut heavy-rare-earth content 30–80%

THE STRUCTURAL RISK

The founding team's China heritage

named as the advantage — it is simultaneously the DFARS/CFIUS/FOCI question the whole thesis rests on

CAPITAL REALITY

Magnet plants are heavy

1,500 MT/yr $\approx$ \$550M revenue claim implies capex the memo never sizes; no round terms, no financials disclosed

The claims that decide it — and how to check each

CLAIM	WHY IT MATTERS	HOW TO VERIFY
~\$7M revenue delivered last year to Automotive OEM I	The single most load-bearing fact: it separates this from every pre-revenue magnet startup	Audited financials or bank statements; the memo says "in partnership with our technical partner" — establish who made the magnets and where
~\$30M committed and near-committed pipeline	"Near-committed" is doing heavy lifting across five relationships	See the POs. Split committed vs LOI vs verbal; \$14M + \$10M + \$6M is 100% of it and the \$3.6K robotics order shows how early the rest is
Sole DFARS-compliant domestic SmCo	If true this is a genuine monopoly window	Independent check against Arnold, E-VAC, Electron Energy Corp (notably absent from

supplier from 2027		the memo's competitor list — EEC is a US SmCo producer)
10-year MREO stockpile	Insulates from Chinese export control; also ties up enormous working capital	Third-party inventory verification + the balance-sheet cost; ask what it was bought at and how it is financed
Five generations of patented GBD	The process moat	Patent numbers and assignee — confirm they are assigned to the US entity, not to a Chinese predecessor
DFARS-compliant ownership structure "working to marry"	Present tense = not yet done	The single most important open item: current cap table, FOCl mitigation plan, and whether any China-domiciled entity or person holds equity or IP

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The honest read

What is genuinely attractive: the demand shock is real and dated (DFARS 252.225-7052 expands to full supply-chain provenance on 1 Jan 2027, and SmCo is restricted from mining onward — a harder standard than NdFeB's melt-onward rule). Federal capital is unusually available (DPA Title III precedents: e-VAC \$94.1M, Noveon \$35M). And unlike most reshoring pitches, this team has actually operated the process at commercial scale — that is the rarest input in this sector.

What the memo does to itself: it is written as advocacy, not diligence. It contains no financial statements, no round size, no valuation, no use of proceeds, no unit economics, and no capex plan — while asserting a \$550M revenue capacity target. It disparages nine competitors by name without sourcing, including a criminal case (Quadrant) used rhetorically. The Quadrant story cuts both ways: prosecutors charged executives with passing off Chinese-made magnets as domestic — which is precisely the accusation a China-heritage competitor is most exposed to, and the memo raises it without addressing its own vulnerability.

Three questions that decide the investment

- **Who legally owns the IP and the equity, today?** Not the plan — the current structure. DFARS/ITAR qualification and any defense prime relationship depends entirely on this answer, and the memo says the compliant structure is still being built.
- **What did the \$7M of revenue actually consist of?** A "large sample run produced in partnership with our technical partner" is not the same as production output from the

Georgia facility. Establish which magnets were made where.

- **What is the capital plan to 1,500 MT/yr?** Sintered magnet capacity at that scale is a nine-figure build. Without the capex number, the \$550M revenue claim is arithmetic, not a plan.

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Verdict

Interesting, verify-first — 5/10. The sector thesis is one of the few genuinely dated, policy-created supply gaps available to a private investor, and this team is more credible than the average entrant. But every fact that would justify a check is stated rather than shown, and the one structural risk that could void the entire defense thesis — foreign ownership, control, or influence — is explicitly unresolved in the memo's own words.

The correct posture is a diligence sprint, not a pass: request audited financials, the customer POs, the patent schedule, the current cap table with any China-linked holders, and the FOCI mitigation plan. If the \$7M is real Georgia production and the ownership structure is already clean, this becomes a serious opportunity with a hard 2027 catalyst. If the revenue is pass-through from a Chinese partner or the structure is unresolved, it is uninvestable for a defense-oriented thesis at any price.

Sources: Mulberry Industries investment memorandum, 13pp dated 6.15.26, read in full. No independent verification performed this session — competitor and regulatory context noted where the memo's own claims are checkable.